

PRIVATE PLACEMENT MEMORANDUM

51st Capital Group, LLC

Marcus Webb

Capital Target

\$540,000 (100 Units @ \$5,400)

Date of Issue

April 2026

CONFIDENTIAL · For Authorized Investors Only

This Private Placement Memorandum is confidential and has been prepared solely for informational purposes in connection with the proposed offering described herein.

This memorandum does not constitute an offer to sell or a solicitation of an offer to buy any security.

EXECUTIVE SUMMARY

Fund Overview

51st Capital Group, LLC is a partnered search fund formed by Marcus Webb and co-searcher Derek Johnson to identify, acquire, and operate a single lower-middle-market business.

The fund is raising \$540,000 across 100 units at \$5,400 per unit to fund a 24-month search for a suitable acquisition target.

Partnership

Marcus Webb and Derek Johnson bring complementary skill sets: Marcus has deep investment banking and private equity experience at Goldman Sachs and a mid-market PE fund, while Derek brings 8 years of operational management experience in business services and healthcare services companies.

Investment Thesis

51st Capital Group targets business services and healthcare services companies with strong recurring revenue, defensible market positions, and clear operational improvement opportunities in the \$15M-\$60M TEV range.

SEARCHER BACKGROUND

Marcus Webb · Education & Experience

Marcus holds an MBA from The Wharton School at the University of Pennsylvania (Class of 2024) and a BS in Finance from Howard University. He spent 3 years as an investment banking analyst at Goldman Sachs in the Business Services and Healthcare coverage group, followed by 2 years as a private equity associate at a \$400M mid-market fund focused on business services acquisitions.

Derek Johnson · Education & Experience

Derek holds a BS in Business Administration from University of Georgia. He spent 10 years at a national janitorial and facilities management company, rising to Regional Operations Director overseeing 250 employees across 8 states. He subsequently served as VP of Operations at a healthcare staffing firm.

Geographic Focus

The partnership is based in Atlanta, GA and focuses on the Southeast United States, with familiarity in Georgia, Florida, Tennessee, North Carolina, and South Carolina.

INVESTMENT CRITERIA

Target Sectors

Business Services (staffing & recruiting, commercial cleaning, security services, payroll, compliance) and Healthcare Services (home health, behavioral health, medical staffing, physical therapy).

Financial Profile

Revenue of \$8M-\$40M, EBITDA of \$1.5M-\$6M, EBITDA margins of 12%-25%. Prefer companies with >50% recurring revenue and contract-based revenue.

Management Transition

Target businesses where the founder/owner is seeking full transition over 12-24 months. No requirement for seller to remain post-close, but preference for 6-12 month transition support.

Acquisition Financing

Target TEV of \$15M-\$60M at 5x-8x EBITDA using SBA 7(a) or conventional senior debt, seller notes where available, and search fund equity.

FUND TERMS

Capital Structure

51st Capital Group, LLC is organized as a Delaware LLC. Marcus Webb and Derek Johnson are co-managing members. \$540,000 search capital across 100 units at \$5,400 per unit.

Investor Rights

Pro-rata acquisition participation rights. 1.5x step-up on search capital converted to acquisition equity.

Economics

20% carried interest above 8% preferred return. Carry split equally between the two searchers. 4-year vesting with 1-year cliff post-acquisition.

Use of Proceeds

Search capital will fund two full-time salaries, office expenses, deal legal/accounting fees, travel, and broker/advisor fees for 24 months.

RISK FACTORS

Partnership Dynamics

As a partnered fund, 51st Capital Group is exposed to partnership execution risk. Disagreements between co-searchers could delay or derail the search. The partners have established a formal operating agreement with dispute resolution mechanisms.

Competition for Deals

The lower-middle-market M&A market is competitive. The fund may compete with other search funds, private equity firms, and strategic buyers for attractive acquisition targets.

Integration Risk

Post-acquisition, the integration of the existing management team, workforce, and processes presents operational risk. The fund plans to retain key employees and leverage Derek's operational experience to mitigate this risk.

Regulatory Risk

Healthcare services companies are subject to Medicare/Medicaid regulations, state licensing requirements, and HIPAA compliance. Changes in reimbursement rates or regulatory environment could impact portfolio company performance.